Liquidity

Exam code: 9BS0

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Statement of financial position (balance sheet)

- The statement of financial position contains the financial information required to draw conclusions about the **liquidity of the business**
  - Liquidity is the ability of a business to **meet its short-term commitments** (e.g. payments to creditors) with its available assets
  - A business that cannot pay its bills will usually **fail very quickly**, even if it is profitable
  - Managing liquidity is a key way to **manage risk** in a business — and it helps a business to prepare for the unexpected
- The statement of financial position shows the **financial structure** of a business at a specific point in time
  - It identifies a business's **assets** and **liabilities** and specifies the **capital** (money) used to fund the business
  - The statement of financial position is also known as the **balance sheet**

Example of a statement of financial position for Packer Sports Ltd

Stuck on something?

Ask questions and get help with exactly what you're revising.

Got it

Vehicles	42,000	
Machinery	18,500	60,500
Current Assets		
Inventory	8,250	
Trade Receivable	2,630	
Bank	4,080	
Cash	585	15,545
Current Liabilities		
Trade Payables	3,960	
Bank Overdraft	1,100	5,060
Net Current Assets		10,485
Non-current Liabilities		
Mortgage		20,000
Net Assets		50,985
Financed by		
Capital		16,595
Profit for the year		36,990
Less Drawings		2,600
Capital Employed		50,985

AND BUILDINGS

CURRENT ASSETS ARE ITEMS THAT ARE **CONVERTED TO CASH QUICKLY** – USUALLY WITHIN 12 MONTHS.

CURRENT ASSETS ARE COMPRISED OF CASH, TRADE RECEIVABLES AND INVENTORY

CURRENT LIABILITIES IS **MONEY A BUSINESS OWES AND IS DUE TO BE SETTLED SOON** – USUALLY WITHIN 12 MONTHS.

CURRENT LIABILITIES INCLUDE TRADE PAYABLES AND SHORT-TERM BORROWING SUCH AS A BANK OVERDRAFT

NON-CURRENT LIABILITIES IS **MONEY A BUSINESS OWES** AND THAT DOES NOT NEED TO BE PAID BACK FOR AT LEAST 12 MONTHS.

NON-CURRENT LIABILITIES INCLUDE BANK LOANS AND MORTGAGES

NET ASSETS = ASSETS – LIABILITIES

THE STATEMENT OF FINANCIAL POSITION SHOWS **HOW THE NET ASSETS OF A BUSINESS ARE FUNDED.**

IN THIS CASE THE BUSINESS IS FUNDED WITH A COMBINATION OF OWNERS CAPITAL AND PROFIT GENERATED BY THE BUSINESS.

THE TOTAL FUNDING IS KNOWN AS THE **CAPITAL EMPLOYED.**

NET ASSETS = CAPITAL EMPLOYED

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Help me understand

Ways to measure liquidity

- The liquidity of a business can be measured using two ratios, the **current ratio** and the **acid test ratio**

The current ratio

- The current ratio is a **quick way** to measure liquidity, and the outcome is **expressed as a ratio**
- All forms of current assets are considered in this ratio
- The current ratio is an effective liquidity measure for businesses that **hold little stock**
- The result indicates how many **£s of current assets** a business has available to **cover each £1 of its short-term debt**
- It is calculated using the formula

$$\text{Current ratio} = \frac{\text{Current assets}}{\text{Current liabilities}} = ? : 1$$

Worked Example

Packer Sports Ltd has current assets of £15,545, current liabilities of £5,060 and an inventory figure of £8,250.

Calculate Packer Sports Ltd's current ratio.

[2]

$$\pounds 5{,}060 \quad [2]$$

$$= \quad 3.07 : 1$$

In this example, Packer Sports Ltd has £3.07 of current assets to cover each £1 of short-term debt.

The acid test ratio

- This is a precise way to measure liquidity and is **expressed as a ratio**
- The acid test ratio is also known as the **liquid capital ratio**
- The **least liquid** form of current assets (inventory/stock) is deducted, so the acid test ratio provides a more realistic measure of the business's ability to **meet short-term debts quickly**
- It is a particularly important measure of liquidity for businesses that **hold a large amount of stock**
- It is calculated using the formula

$$\text{Acid test} = \frac{\text{Current assets} - \text{Inventory}}{\text{Current liabilities}} = \quad ? : 1$$

Worked Example

Packer Sports Ltd has current assets of £15,545, current liabilities of £5,060 and an inventory figure of £8,250.

Calculate Packer Sports Ltd's acid test ratio.

[2]

Step 1: Subtract the inventory figure from the current assets

$$= \pounds 15{,}545 - \pounds 8{,}250 \quad [1]$$

$$= \pounds 7{,}295$$

Step 2: Substitute the values into the equation

$$= \frac{\pounds 7{,}295}{\pounds 5{,}060} \quad [1]$$

$$= 1.44 : 1$$

In this example, Packer Sports Ltd has £1.44 of its most liquid current assets to cover each £1 of short-term debt.

Ways to improve liquidity

- The best way to improve liquidity is to **manage the business better**
  - Use **cash flow forecasts** to identify potential cash flow issues before they arise — and take appropriate

- Set clear **financial objectives** and look for ways to **reduce costs** and **increase income** wherever possible

How to improve liquidity

Method	Explanation
Reduce the credit period offered to customers	• Collecting money owed from customers more quickly will **increase the level of current assets** in the business • **Customers may move to competing businesses** that offer better **credit terms**
Ask suppliers for an extended repayment period, e.g. an extension from 60 to 90 days	• Current liabilities **will not be reduced** • The business can use the cash it would have paid to suppliers for other purposes • Suppliers may be **unwilling** to extend credit terms
Make use of overdraft facilities or short-term loans	• Current liabilities will **increase** • The business can spend **more money than it has in its bank account** • Banks may be reluctant to lend to businesses with cash-flow problems
Sell off excess stock	• Less liquid current assets will be reduced and **converted into more liquid forms of current assets** (e.g. cash) • Storage and security **costs may also be reduced** • Stock may need to be **sold at a low price** to attract sales
Sell assets and lease fixed assets instead (e.g. sale and leaseback)	• Both **current assets and current liabilities will increase** • The business will continue to **have the use of the assets** but must make regular payments to the leasing company
Introduce new capital and reduce drawings from the business	• New capital may be **introduced by the owner** or from **additional investors**

Managing working capital

- Working capital is the money that a business has to fund its day-to-day activities
- It is often described as **net current assets** on the statement of financial position
- Working capital is calculated using the formula

Working capital = Current assets – Current liabilities

Worked Example

Garrick Components Ltd is a heating components business based in Tamworth. It has been struggling to control its inventory level. Its customers are the country's leading gas boiler manufacturers. These companies require Garrick Components Ltd to supply products "just in time", and as a result, Garrick must hold large amounts of varied stock to ensure that its customers' needs can be met. Garrick Components offers its customers 90–day credit terms.

Financial information for Garrick Components Ltd

	2022 (£m)	2021 (£m)
Inventories	8.1	7.2
Trade receivables	2.2	3.1
Cash	0.9	1.2
Short-term loan	6.4	4.4
Trade payables	5.1	5.9

Calculate the difference between Garrick Components Ltd's working capital in 2021 and 2022.

[4]

Step 1: Identify and calculate the current assets and current liabilities for 2022 and 2021

Current assets

2022 = £8.1m + £2.2m + £0.9m = £11.2m
2021 = £7.2m + £3.1m + £1.2m = £11.5m **[1]**

Current liabilities 2022 = £6.4m + £5.1m = £11.5m **[1]**
2021 = £4.4m + £5.9m = £10.3m

Step 2: Subtract the current liabilities from the current assets for 2022 and 2021

$$= £1.2m - (£0.3m)$$ [1]

$$= £1.5m$$

Managing working capital

- Working capital is described as the **lifeblood of a business** because a lack of it often leads to **business failure**, as a business **cannot meet its immediate financial obligations**
  - **Cash is the most liquid** of a business's current assets and can be used to settle **debts** immediately
- The effective management of working capital involves careful cash management
  - Debtors and inventory (e.g. stock) are **less liquid**
  - Businesses that are struggling with a lack of working capital may look to **convert these current assets into cash as quickly as possible** (e.g. by selling the stock at lower prices or by more purposefully chasing payment from customers)
  - Requesting an extension of **payment terms** from suppliers can increase working capital in the short term, as cash remains in the business for longer
  - Making use of **short-term borrowing options** such as **overdrafts** can improve a business's working capital situation, as it **can access more cash** than it has in its current account
- A business can have **too much working capital**
  - If a business is **holding large amounts of cash**, it is likely to be **missing out** on the benefits of investing it in fixed assets or investments
  - This may represent a significant **opportunity cost**, especially when interest rates are high
  - If a business is **holding large amounts of inventory**, it may incur **extra storage costs** (e.g. security and handling costs) and could use the cash "tied up" in this stock for other purposes

Examiner Tips and Tricks

A common exam error is the confusion between working capital and cash. Whilst working capital includes cash, it also includes less liquid current assets (e.g. trade receivables and inventory).

These less liquid assets cannot be used to pay bills, so whilst a business may have a positive working capital figure, it may still fail because it cannot meet its immediate financial commitments.

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